

INDIAN ECONOMY

LEVEL
II



LECTURES

- PCA FRAMEWORK FOR BANKS WITH REVISED NORMS SINCE 2022
- PCA FRAMEWORK FOR NBFCs

MODULE - 29



ORIGIN OF PCA FRAMEWORK

- It was first notified in December 2002.
- Several banks have been placed under the framework with their operations restricted, during the previous two decades.



सेन्ट्रल बैंक ऑफ इंडिया
Central Bank of India



बैंक ऑफ बड़ौदा
Bank of Baroda



Union Bank
of India
Good people to bank with

WHAT IS THE OBJECTIVE?

- It is to enable supervisory intervention at appropriate time by RBI.
- RBI initiates and implements remedial measures in a timely manner, so as to restore the bank's financial health.
- It is intended to act as a tool for effective market discipline.
- It does not preclude the RBI from taking any other action, other than mentioned in PCA.



DETAILS ABOUT PCA FRAMEWORK OF 2017

1

CAPITAL

- Capital Adequacy Ratio governs the capital that a bank ought to hold as a percentage of its total assets (loans).
- If the ratio is prescribed as 11.5%, a bank must bring its own capital of Rs. 11.50 for every Rs. 100, it intends to lend.

Out of 11.5%, 2.5% is capital conservation buffer!



बैंक ऑफ़ बड़ौदा
Bank of Baroda

2

ASSET QUALITY

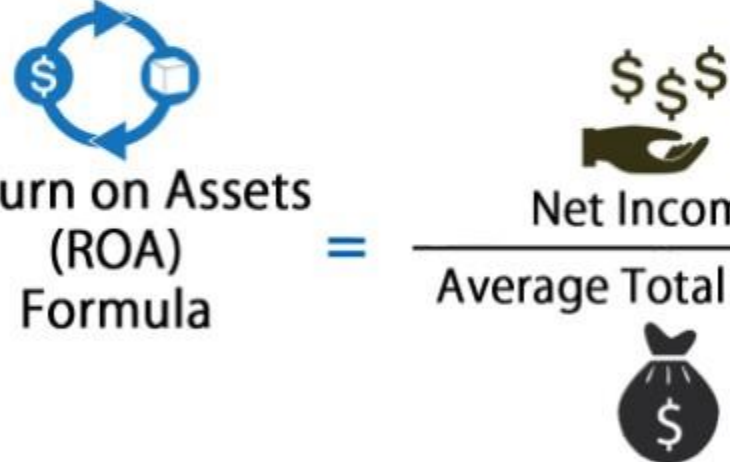
- It tells us what portion of loans is unlikely to be paid back.
- It is reflected in the net non-performing asset ratio.
- It is the portion of the total advances, tagged “non-performing”, after the provisioning for bad loans.



DETAILS ABOUT PCA FRAMEWORK OF 2017

3 PROFITABILITY

- Return on Assets (RoA) measures the profitability.
- It is derived from net income (profit) as a percentage of total assets.



$$\text{Return on Assets (ROA) Formula} = \frac{\text{Net Income}}{\text{Average Total Assets}}$$

4 LEVERAGE

- The leverage ratio shows how much the lender has stretched itself in borrowing funds to generate income.
- The more the leverage, the riskier the turf on which the lender stands.



WHAT ARE THE CURBS BANKS FACE NORMALLY UNDER THE PCA FRAMEWORK?



- There are three risk thresholds – 1, 2 and 3.
- Risk threshold – 3 is severe, i.e., from risk threshold 1 to 3, the restrictions severity will increase.
- As a first step, banks face curbs on dividend distribution / remittance of profits.
- In the second category, Banks additionally face curbs on branch expansion.
- In the final category, the bank additionally faces restrictions on capital expenditure, with some exceptions.
- The RBI also has the option of discretionary actions across governance, strategy, credit risk, market risk and human resources.

REVISED RULES FROM JANUARY 1, 2022, UNDER THE PCA FRAMEWORK

1

RETURN ON ASSETS REMOVED

- The notification has removed Return on Assets as indicator to qualify for PCA.
- It is with the presumption that profitability is the banks and its shareholders lookout.
- Controls over capital adequacy indirectly includes profitability, as retained profits becomes reserves that help shore up capital.

Some say that RoA indicates business performance, and it could have been retained!

2

SFBs & PAYMENTS BANKS ARE ALSO EXCLUDED

The 2017 notification applied to scheduled commercial banks, but excluded RRBs from its purview. The 2021 version excludes small finance banks and payments banks also.



REVISED RULES FROM JANUARY 1, 2022, UNDER THE PCA FRAMEWORK

3 EXIT BASED ON FOUR CONTINUOUS QUARTERLY RESULTS

The RBI has also clearly spelt out that the exit from the PCA would be based on four continuous quarterly results with one being audited annual financial statement.

Experts say that this provision is quite stringent.



4 RISK THRESHOLD 3 REFINED

The Risk Threshold 3 has been further refined for capital adequacy conditions.



PCA FRAMEWORK FOR NBFCs WAS UNVEILED FOR THE FIRST TIME!



- Reserve Bank of India has put in place a Prompt Corrective Action (PCA) framework for troubled NBFCs to restore their financial health, which came into effect from October 1, 2022, based on the financial position on or after March 31, 2022.
- It will apply to all deposit taking NBFCs, excluding government companies, and all non-deposit taking NBFCs in the middle, upper and the top layers.
- Indian financial system is home to around 9,400 NBFCs, which are highly interconnected to both bond markets and banks.

The move comes in the wake of large NBFCs such as IL&FS, DHFL, SREI group and Reliance Capital getting into financial trouble over the past three-four years.

THE THREE INDICATORS TRACKED BY RBI

- Capital-to-Risk Weighted Assets Ratio (CRAR)
- Tier-1 Capital Ratio
- Net Non-Performing Assets (NPA) Ratio

TRIGGER THRESHOLDS FOR PCA

For NBFCs excluding core investment companies

Indicator	RBI regulatory minimum	RISK		
		Threshold 1	Threshold 2	Threshold 3
CRAR	15%	12% to below 15%	Between 9% and 12%	Below 9%
Tier 1 capital ratio	10%	8% to 10%	Between 6% and 8%	Below 6%
Net NPA ratio	NA	6-9%	9-12%	Above 12%

Note: Based on current regulatory minimum
PCA: Prompt corrective action; CRAR: Capital-to-risk weighted assets ratio

WHAT ARE VARIOUS TYPES OF RESTRICTIONS BY RBI?

- RBI can
 - ✓ Impose dividend restrictions.
 - ✓ Mandate capital infusion.
 - ✓ Restrict capital expenditure.
 - ✓ Restrict Branch expansion.
- RBI also has discretion to initiate special audits or inspections, propose a bail-out scheme or file an insolvency application with the IBC.



WHAT IS THE CRITICISM AGAINST PCA FRAMEWORK FOR NBFCs?

1 THEY MIGHT HAVE ALREADY LANDED INTO PROBLEMS BEFORE PCA FRAMEWORK KICKS IN!

Before RBI action, because of the liberal standards prescribed in this framework, these NBFCs may already have landed into problems. The prescription appears to be too late!



2 NOT APPLICABLE TO GOVERNMENT COMPANIES

- NBFCs promoted by the Central and State Governments in India rely quite heavily on bond funds raised from public markets and sometimes on public deposits. Some are in precarious financial shape.
- When the Public Sector Banks are under the PCA, why the Government-owned NBFCs are excluded?

Ultimately, they may bleed crores of rupees of taxpayer's money!

WHAT IS THE CRITICISM AGAINST PCA FRAMEWORK FOR NBFCs?



Overall, the RBI stipulations of PCA framework over NBFCs is most welcome, but it is considered as quite liberal with too many exclusions!

3

TOO MANY EXCLUSIONS

- The decision excludes base layer of NBFCs — non-banks with less than Rs.1,000 crore asset base, including Peer to Peer (P2P) lenders, digital lenders, account aggregators and small lenders.
- As per a recent discussion paper released by RBI, as many as 9,209 of the 9,425 registered NBFCs fall in this base layer.
- Digital lending and fintech revolution in India is increasingly being powered by small NBFCs, P2P firms etc. Allowing such a large number of them to get away with light-touch regulations may pose risks to public confidence in the financial system.



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